IRDAI Consumer Guidance: Health Insurance Policyholder Rights (Summary)

Document type: Regulatory guidance summary (IRDAI)

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Note on this document: this is a plain-language summary of provisions of the IRDAI Master Circular on Health Insurance Products dated 29 May 2024 (reference IRDAI/HLT/CIR/PRO/84/5/2024) and the IRDAI Master Circular on Protection of Policyholders' Interests dated 5 September 2024, as reported by public news and advisory sources. It is not the official text. Verify against the latest circulars on irdai.gov.in before relying on it. Rules may have changed after October 2026.

1. Key policyholder protections

Topic	What the IRDAI guidance says
Cashless authorization	Insurers must decide a cashless authorization request within 1 hour of receiving it. Final authorization on discharge must be given within 3 hours of the hospital's request. If the delay goes beyond 3 hours, any extra hospital charges are to be borne by the insurer's shareholders' funds, not the policyholder. Insurers should aim for 100 percent cashless claim settlement in a time-bound manner, with reimbursement being the exception.
Moratorium period	After 60 months (5 years) of continuous coverage, no policy or claim can be contested on grounds of non-disclosure or misrepresentation, except for established fraud (and permanent exclusions in the policy). This was earlier 8 years.
Pre-existing disease waiting period	The maximum waiting period for pre-existing diseases is 3 years (36 months), reduced from 4 years.
Free look period	30 days to review a policy and return it if not acceptable (earlier 15 days). The insurer must refund as per the circular, after deducting permitted expenses.
Cancellation by policyholder	A policyholder can cancel an indemnity health policy at any time during the term by giving 7 days' written notice.
Grace period for premium	15 days where premium is paid monthly and 30 days for quarterly, half-yearly or yearly premiums. Continuity benefits such as waiting-period credit are kept if renewed within the grace period.
Renewal	A health policy is renewable and cannot be denied because a claim was made in earlier years, except for established fraud, non-disclosure or misrepresentation. Insurers must offer lifetime renewability.
Entry age	The upper age limit of 65 years for buying new health insurance was removed. Insurers cannot refuse cover solely because of age.
Multiple policies	A policyholder with more than one health policy can choose which policy to claim under. If the chosen policy's cover is insufficient, the insurer coordinates with other insurers for the balance.
Claim rejection oversight	A claim should not be rejected without approval of the insurer's claim review committee.
No-claim reward	Insurers may reward claim-free years with a premium discount or higher cover.
Portability and migration	Policyholders can port to another insurer or migrate within the same insurer without losing credit for waiting periods, moratorium and accrued benefits, if continuous cover is maintained. Apply 45 to 60 days before renewal for portability.
Standard definitions	Insurers must use IRDAI standard definitions for terms such as pre-existing disease, hospital, day care treatment and room rent.
Ombudsman and grievance	A complainant can escalate from the insurer's grievance process to the Insurance Ombudsman and can also lodge complaints on the IRDAI Integrated Grievance Management System (igms.irda.gov.in).

2. Where the Bajaj Allianz Global Health Care wordings differ from the 2024 circular

The Global Health Care Policy Wordings carry UIN BAJHLIP23020V012223, a filing that predates the May 2024 circular. Some clauses in the wordings use the older rules. The regulator's rules set a minimum standard for insurers, so a policyholder should confirm with the insurer how the current rules apply to the policy.

Topic	Bajaj Allianz Policy Wordings	IRDAI 2024 guidance
Moratorium	8 continuous years (Section E, clause 12)	60 months (5 years)
Free look period	15 days from receipt of policy document (clause 15)	30 days
Cancellation by policyholder	15 days' written notice with a refund table by period in risk (clause 7)	7 days' written notice
Pre-existing disease waiting	36 months (Excl01)	Maximum 3 years (36 months): consistent
Instalment grace period	15 days for instalment premium; 30 days at renewal (clauses 10 and 13)	15 days monthly; 30 days for other modes: consistent
Cashless turnaround	Not stated; 48 hours prior notice for planned and 24 hours for emergency	Decision within 1 hour; discharge authorization within 3 hours
Claim settlement	Within 30 days of last necessary document; 45 days if investigation (clause 3)	Time-bound settlement; follow the latest circular
Multiple policies	Insured may choose policy and claim balance elsewhere (clause 5)	Consistent: policyholder chooses the policy

3. Useful official sources

• IRDAI website: www.irdai.gov.in (Master Circular on Health Insurance Products, 29 May 2024).

• IRDAI Integrated Grievance Management System: igms.irda.gov.in.

• Council for Insurance Ombudsmen: www.cioins.co.in.

4. Sources used to prepare this summary

• News and advisory coverage of the IRDAI Master Circular dated 29 May 2024, including The Week (30 May 2024), Money9 (30 May 2024), a Deloitte India tax alert, and Outlook Money.

• Coverage of the IRDAI Master Circular dated 5 September 2024 on policyholder protection, including GIC Council and Paybima summaries.